AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XI EXAMINATION

APRIL/ MAY 2019

Principles of Commerce Paper II

Time: 2 hours 20 minutes Marks: 50

April/ May 2019 for ... g & Learning only

INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's Signature**

RUBRIC

2. There are TWELVE questions. Answer ALL questions. Choices are specified inside the paper.

3. When answering the questions:

   Read each question carefully.
   Use a black pointer to write your answers. DO NOT write your answers in pencil.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   You may use a scientific calculator if you wish.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

Q.1. (Total 2 Marks)

Complete the given table by describing a merit and a demerit of e-commerce.

Merit	Demerit
1.	1.

Q.2. (Total 5 Marks)

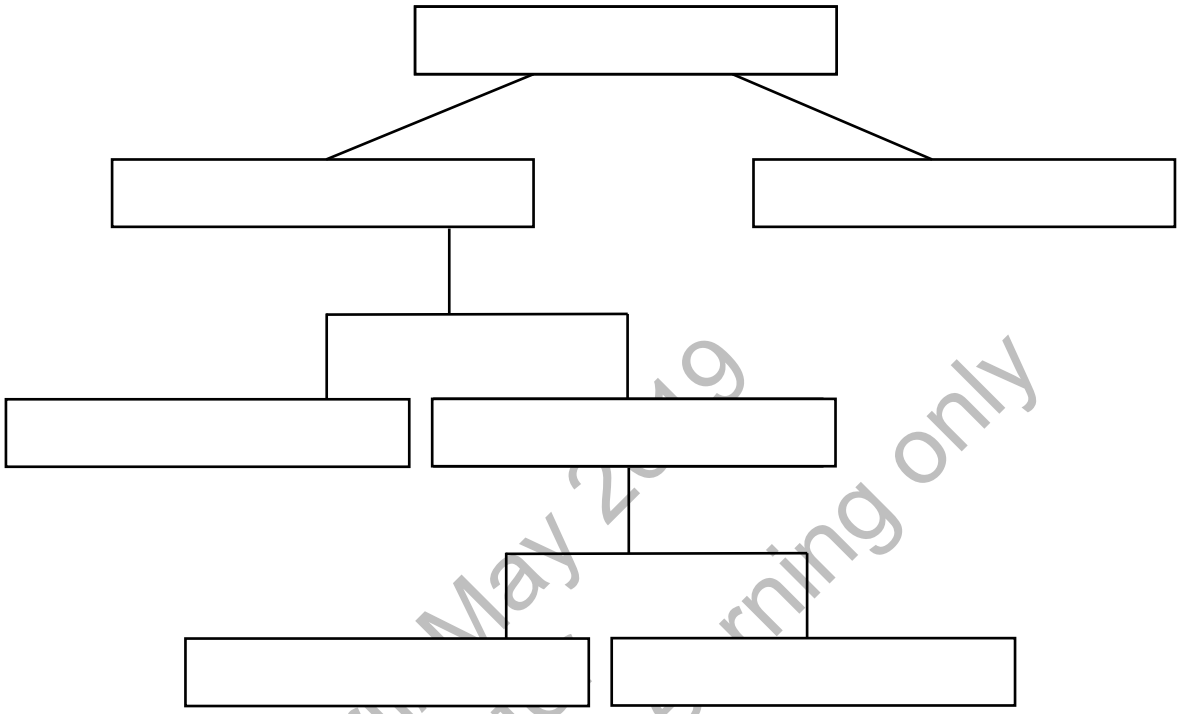
Describe the documents that a public limited company is required to comply with before starting its business operations.

April/ May 2019
for
Teaching & Learning only

Q.3. (Total 4 Marks)

Ahmed Limited is a private limited company that deals in the production of washing machines.

Prepare an organisational chart for Ahmed Limited.



Q.4. (Total 3 Marks)

Effective advertising results in increased sales and profit. Besides these advantages, there are a few disadvantages of advertising.

Elaborate any THREE disadvantages of advertising.

April May 2019 Teaching & Learning only

Q.5. (Total 3 Marks)

Zohaib has recently opened a departmental store. He buys goods from different wholesalers and sells them to his customers.

Describe the benefits his departmental store will provide to the following:

Wholesalers:

1. _____

_____

_____

Customers:

1. _____

_____

_____

2. _____

_____

_____

April/ May 2019 for Teaching & Learning only

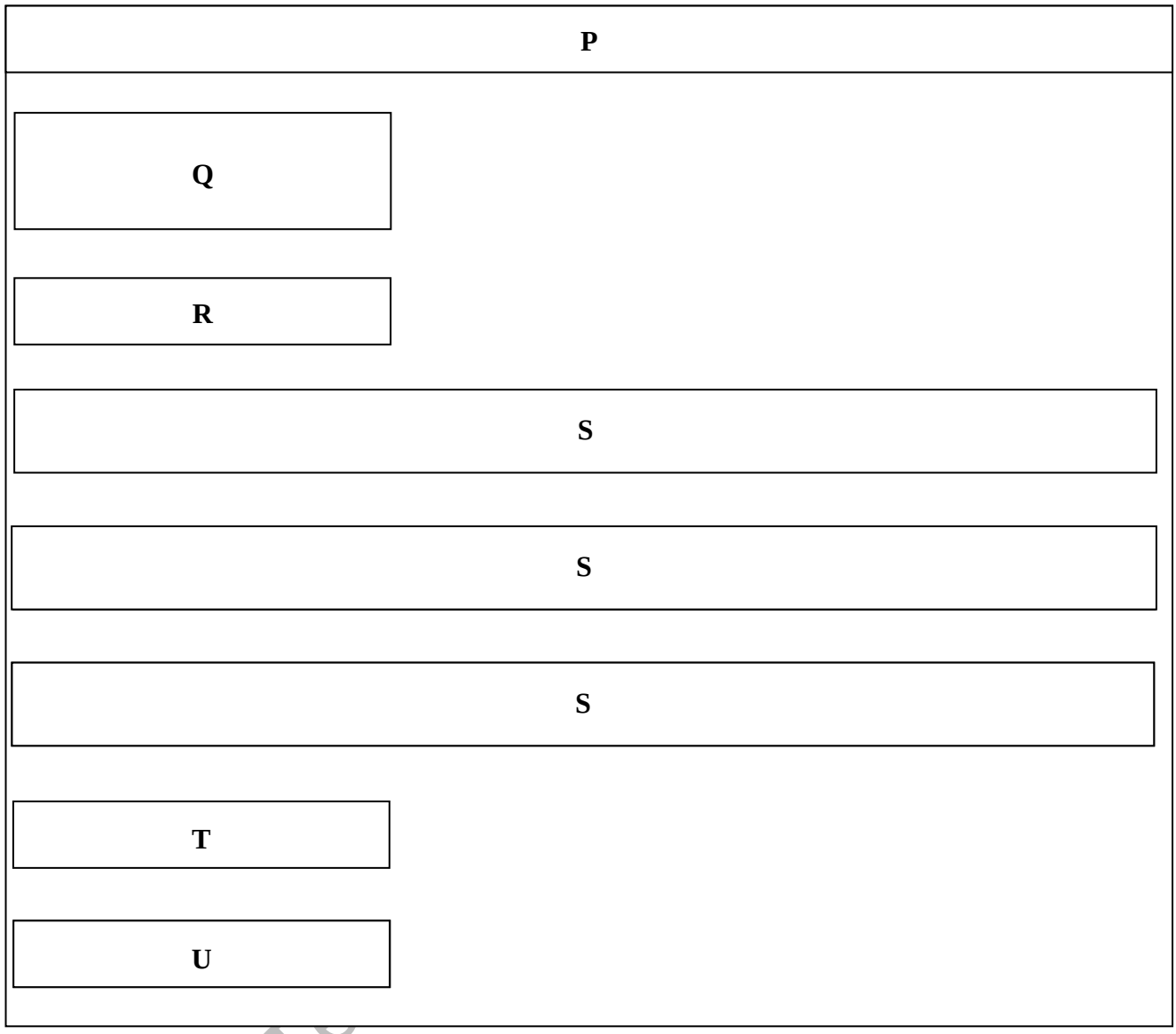
Q.6. (Total 4 Marks)

Mention TWO differences between consular invoice and performa invoice.

Consular Invoice	Performa Invoice
1.	1.
2.	2.

Q.7. (Total 3 Marks)

Complete the given format of full block letter by labelling its parts (P, Q, R, S, T, U).



Q.8. (Total 3 Marks)

Explain any THREE features of effective business communication.

Q.9. (Total 4 Marks)

Explain the role of any FOUR auxiliaries to trade in the development of a business.

Q.10. (Total 4 Marks)

Fahad is an entrepreneur who wants to expand his business of selling medicines to other countries. He would transport medicines via sea and would like to secure the risk involve in the trade.

Suggest any FOUR suitable forms (types) of insurance that can be used by Fahad in the given scenario.

April/ May 2019 for Teaching & Learning only

Q.11. (Total 10 Marks)

(ATTEMPT ANY TWO PARTS OF Q.11.)

a. Ahmed and Ali are qualified accountants. They are working in an audit firm as senior managers since last six years. Now they plan to leave their jobs and start their own consultancy firm as accounting and tax partners.

Explain in FIVE points the procedure they need to follow to start their partnership firm.
(5 Marks)

April/ May 2019
for
Teaching & Learning only

(ATTEMPT ANY TWO PARTS OF Q.11.)

b. Ahmed and Ali are qualified accountants. They are working in an audit firm as senior managers since last six years. Now they plan to leave their jobs and start their own consultancy firm as accounting and tax partners.

Explain THREE rights and TWO duties of Ahmed and Ali as partners. (5 Marks)

April/ May 2019
for
Teaching & Learning only

(ATTEMPT ANY TWO PARTS OF Q.11.)

c. Qadir and Zeeshan were business partners. Recently, their partnership dissolved. Now, Qadir wants to start his own business as a sole trader.

Discuss any FIVE benefits that Qadir will reap as a sole trader that he was not getting previously. (5 Marks)

April/ May 2019 for Teaching & Learning only

Q.12. (Total 5 Marks)

EITHER

a. After seeing an advertisement, Aisha is considering to purchase a laptop and a washing machine online. However, before making the final decision, she wants to get some information about these products from the marketing department of Alpha Electronics.

Draft an inquiry letter that Aisha will write to get the information.

OR

b. Naqia bought various confectionary items from a reputed departmental store situated in another city. After two days, when she reached home, she found that some of the goods were expired and unusable.

She emailed the departmental store about the concern and asked for compensation.

As a Manager, Customer Relationship Department of the store, draft an adjustment letter that will be written in response to Naqia's complaint.

April/ May 2019 for Teaching & Learning only

END OF PAPER

Please use this page for rough work

April/ May 2019
for
Teaching & Learning only

Please use this page for rough work

April/ May 2019
for
Teaching & Learning only